

Onboarding High-Risk Membership

GUIDELINES

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Beem
CREDIT UNION

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1 Purpose

These guidelines outline the requirements and process to follow for all Beem Credit Union (the Credit Union) employees who onboard High-Risk Members.

2 Overview

Certain individuals and entities who are inherently high-risk due to their nature of business, country association, PEP status, or occupation pose a higher risk of Money Laundering (ML) and Terrorist Financing (TF) to the Credit Union and are deemed as High-Risk Members.

As such, these members are subject to additional restrictions in the form of ML/TF risk controls and must be reviewed from a compliance perspective to ensure that they operate within the Credit Union’s ML/TF risk appetite before a membership is established.

To ensure that these high-risk members are within the Credit Union’s risk appetite, the following onboarding guidelines must be followed to determine whether the membership will be opened, and if so whether any Enhanced Due Diligence (EDD) measures will be applied to the relationship.

3 High-Risk Members

The Credit Union’s definition of a High-Risk Member is outlined in the [High-Risk, Prohibited, and Restricted Memberships Policy](#). Refer to this policy for a comprehensive list of high-risk membership descriptions.

The Credit Union may approve the onboarding of a High-Risk Member through completion of the process outlined in the [High-Risk Member Onboarding Process](#) section.

3.1 High-Risk Countries

The Credit Union considers the provision of financial services, directly or indirectly, to individuals and entities associated with certain countries (each a “High-Risk Country”) to be a higher risk for ML/TF, including:

- Countries with sanctions regulations
- Tax haven jurisdictions
- Intermediary jurisdictions and locations of concern

For a full listing of countries identified to be a High-Risk Country refer to the [High-Risk, Prohibited, and Restricted Memberships Policy](#).

3.2 High-Risk Businesses

Organizations that are classified as *reporting entities* under FINTRAC obligations or businesses associated high-risk industries can present an increased risk for ML/TF to the Credit Union (each a “High-Risk and Approval Required Business”). High-Risk and Approval Required Businesses may be eligible for Credit Union

membership contingent on an enhanced due diligence review and formal approval from the AML Compliance Department.

For a full list of business types and entities the Credit Union considers to be high risk, refer to the [High-Risk, Prohibited, and Restricted Memberships Policy](#).

3.3 High-Risk Individuals

Certain individuals have been deemed High-Risk Members by the Credit Union including:

- Foreign Politically Exposed Persons (“Foreign PEP”)
- Family Member or Close Associate of a Foreign PEP
- Financial association with a High-Risk and Approval Required Business
- Occupation related to a high-risk industry or entity

Refer to the [Politically Exposed Person and Head of International Organization Determination Guidelines](#) for details on a Foreign PEP.

For a full list of occupations and individual associations identified as high risk, refer to the [High-Risk, Prohibited, and Restricted Memberships Policy](#).

4 High-Risk Member Onboarding Process

When the Credit Union receives a membership request from a prospective [High-Risk Member](#), employees are required to complete the following process to ensure that the individual or entity undergoes a compliance review and has been determined to fall within the Credit Union’s ML/TF risk appetite before a membership is established.

4.1 Initial Interview

During the initial meeting with a prospective High-Risk Member, employees are responsible for interviewing the applicant to gain a holistic understanding of the potential business relationship.

Individual	In addition to the requirements below, a full understanding of the individual’s occupation and employer, or nature of business for a sole proprietor, should be obtained to properly evaluate the risk. The information obtained should be reasonably descriptive and easily understood. As an example, a detailed occupation description would be <i>hotel reservations manager</i> versus <i>manager</i> . For a sole proprietor, <i>anti-money laundering consultant</i> should be documented versus the generic term <i>consultant</i> .
Business	In addition to the requirements below, determine a full understanding of the business’ activities while paying close attention to the business contact’s knowledge of the entity. This includes ensuring the nature of business is reasonably descriptive. As an

example, if an entity's principal business is sales, a detailed description would be *pharmaceutical sales*.

Gather the required [documentation and information](#), and collect the High-Risk Member [application fee](#), if applicable.

4.2 Collection of Additional Documentation

In addition to the normal account application documentation that would be required based on the type of membership being opened, employees should collect additional documentation and information from the membership regarding their business activities, as applicable.

For the Credit Union's standard account opening documentation and requirements refer to the following Guidelines:

- [Personal Membership Guidelines](#)
- [Corporate Membership Guidelines](#)
- [Sole Proprietor Guidelines](#)
- [Partnership Membership Guidelines](#)
- [Joint Venture Arrangement Guidelines](#)
- [Incorporated Society Membership Guidelines](#)
- [Unincorporated Association Membership Guidelines](#)

Additional documentation and information will be requested from the membership to assist with the review and assessment of ML/TF risks. With the application request for a new High-Risk Membership, the Credit Union employee must contact the [AML Compliance Department](#) to determine what additional documentation will be required based on the type of High-Risk Member.

Depending on the type of business, various documents can be requested including, but are not limited to:

- AML Risk Assessments and AML Policies and Procedures
- Any regulatory reporting (ex. FINTRAC reporting)
- Applicable Government licensing or registration
- Audit or examination results
- Business plan
- Copies of bank statements for any/all accounts held at other financial institutions
- CRA corporate tax returns, including all schedules and supporting documents confirming beneficial ownership of the Depositor
- Current period balance sheet and income statement (profit and loss statement), including detailed listing of any accounts receivable

- Employee listings
- Employee training program documentation; attestations of completed training
- Invoices and/or sales reports to support cash activity
- Third-party agreements

After this documentation is collected by the branch employee, it will be submitted by email to the [AML Compliance Department](#) for a compliance review.

4.2.1 Licensed Cannabis Producers/Retail Stores

The following list of information and additional documentation is required to be collected during onboarding for licensed cannabis producers and distributors or licensed retail cannabis stores:

- Confirmation of applicable government cannabis licensing or registration
 - Health Canada registration to cultivate, produce or distribute cannabis
 - BC Retail Cannabis Store License
- Municipal business license for any jurisdiction the business operates in
- The business's most current business plan
- Complete CRA corporate tax return, including all schedules and supporting documents confirming beneficial ownership of the Depositor
- Current period balance sheet and income statement (profit and loss statement), including detailed listing of any accounts receivable
- Copies of 6 months most recent bank statements for any/all accounts held at other financial institutions, if applicable
- Most recent 6 months invoices and/or sales received to support cash activity on all accounts held by the Depositor
- Employee listing
- Employee training program documentation including attestations of completed training (e.g. Selling it Right Certifications)
- Third-Party Agreements with any licenced retailers and producers
- A listing of all storefront locations or production facilities
- Any other documentation deemed necessary, by the Credit Union, to confirm the Depositor's compliance with Canada's Cannabis Act and Cannabis Regulations

4.2.2 Money Service Businesses

The following list of information and additional documentation is required to be collected during onboarding for licensed Money Service Businesses:

• Valid and current FINTRAC registration
• AML Risk Assessment and AML Policies and Procedures, including training employee training requirements
• Most recent biennial PCMLTFA review results, including any/all responses
• All FINTRAC examination results, including any/all responses
• Municipal business license for any jurisdiction the business operates in
• The business's most current business plan
• Complete CRA corporate tax return, including all schedules and supporting documents confirming beneficial ownership of the Depositor
• Current period balance sheet and income statement (profit and loss statement), including detailed listing of any accounts receivable
• Copies of 6 months most recent bank statements for any/all accounts held at other financial institutions
• Most recent 6 months Invoices and/or sales received to support cash activity on all accounts held by the Depositor
• Employee listing
• Employee training program documentation; attestations of completed training
• A listing of all storefront locations and/or all ATM Locations
• A listing of all regulatory reporting submitted to FINTRAC in previous year, including the total number of: ○ Suspicious Transaction Reports (STR) ○ Large Cash Transaction Reports (LCTR) ○ Large Virtual Currency Transactions Reports (LVCTR) ○ Electronic Funds Transfer Reports (EFTR)
• Any other documentation deemed necessary, by the Credit Union, to confirm the Depositor's compliance with FINTRAC Money Service Business Regulations

4.2.3 FINTRAC Reporting Entity

The following list of information and additional documentation is required to be collected during onboarding for FINTRAC reporting entities:

• AML Risk Assessment and AML Policies and Procedures, including training employee training requirements
• Most recent biennial PCMLTFA review results, including any/all responses
• All FINTRAC examination results, including any/all responses

• Municipal business license for any jurisdiction the business operates in
• Copies of six months most recent bank statements for any/all accounts held at other financial institutions
• Employee listing ○ Individual employee certification, designation, or license
• Employee training program documentation; attestations of completed training
• List of all locations, if applicable
• List of all regulatory reporting submitted to FINTRAC in previous year, including the total number of: ○ Suspicious Transaction Reports (STR) ○ Large Cash Transaction Reports (LCTR) ○ Large Virtual Currency Transactions Reports (LVCTR) ○ Electronic Funds Transfer Reports (EFTR)
• Any other documentation deemed necessary, by the Credit Union, to confirm the reporting entity's compliance with PCMLTFA Regulations

4.3 Compliance Review

After the AML Compliance Department receives all required documentation from the branch employee, they will conduct a compliance review of the information collected.

During the review, the AML Compliance Department may request additional information or documentation to be collected by the employee from the prospective member to assist with the risk evaluation and determination.

The compliance review may consist of:

• A review of any existing relationships
• Personal memberships of shareholders/directors
• Open-source searches
• Review of information and documentation provided to ensure that it is aligned with the stated nature of business and expected operations
• Request of additional information as required

After the compliance review is complete, a determination will be made whether the potential High-Risk Member is within the Credit Union's ML/TF risk appetite.

4.3.1 Membership Approval

If the membership is determined to be within the Credit Union's ML/T risk appetite, the AML Compliance Department will provide approval, via email, to the branch employee to proceed with membership onboarding.

Additional [Enhanced Due Diligence Measures](#) will be applied to the membership. Details of the measures will be provided to the branch employee along with the approval notification.

If the applicant does not wish to proceed with a membership based on the enhanced due diligence measures requirement, the Credit Union will not proceed with membership opening. An Unusual Activity Report must be submitted to the AML Compliance Department, refer to the [Unusual Activity Reporting Guidelines](#).

4.3.2 Membership Decline

If the AML Compliance Department determines, after their review, that a high-risk membership falls outside of the Credit Union's ML/TF risk tolerance, they will notify the branch employee of the determination via email.

The branch employee will need to inform the applicant that, at this time, the business relationship falls outside of the Credit Union's risk appetite, and a membership will not be opened. Refer to the Denial of Membership section within the [Personal Membership Guidelines](#) or the applicable Business Membership Guidelines.

4.4 Enhanced Due Diligence (EDD) Measures

When a High-Risk Member application has been approved, the AML Compliance Department will provide the enhanced due diligence measures that will be placed on the membership.

EDD measures may include, but are not limited to:

- Incoming and/or outgoing wire transfers may be restricted
- Source of funds and purpose of payment required for deposits
- Online banking services may be restricted, including access to remote deposit and/or e-transfers
- Extended holds on cheque deposits
- Member Card services may be restricted, including transaction limits and/or holds on ATM deposits
- Site visit to be conducted by Credit Union employee
- Membership will be subject to regular ongoing monitoring

4.5 Addendum

As part of the membership opening, the High-Risk Member will be required to sign an Addendum to the regular membership terms and conditions.

The Addendum provided to High-Risk Members outlines any additional requirements of the membership including additional documentation that may be requested on a regular basis, an application of a monthly compliance fee to the membership, and the authority for the Credit Union to close the account should operations not be as expected.

The Addendum must be completed at membership opening and uploaded to ECM for record keeping. The applicable Addendum to Terms and Conditions will be provided to the branch employee by the AML Compliance Department to be signed by the member and uploaded to ECM.

4.6 Compliance Fees

Due to the inherent risks associated with their account operations, High-Risk Members require additional enhanced due diligence measures and employee resources. Compliance fees will be levied, in addition to the Credit Union's regular service fees. The compliance fee is applied to offset the additional costs associated with maintaining a High-Risk Member relationship.

The compliance fees applied to the High-Risk Member will be documented in the Addendum that is signed at membership opening. The Credit Union can reassess the compliance fee at any time and is subject to change based on the account activity.

4.6.1 Application Fee

At the time of the membership application for High-Risk Members, a non-refundable application fee will be collected upfront. The application fee will be collected by the Credit Union regardless of whether the membership is opened or declined.

Management can make a recommendation on the fee based on the prescribed scales outlined below.

Business Type	Fee Scale
Cannabis	The application fee for cannabis memberships are prescribed between \$500-\$1,000 based on the extent of the application and review required.
Money Service Businesses	The application fee for Money Service Business memberships are prescribed between \$1,000 - \$1,500 based on the extent of the application and review required.
FINTRAC Reporting Entity	The application fee for FINTRAC Reporting Entity memberships are prescribed between \$1,000 - \$1,500 based on the extent of the application and review required.

4.6.2 Monthly Compliance Fee

On a monthly basis High-Risk Members will be charged a monthly compliance fee. This fee will be documented in the Addendum signed at membership opening.

Management can make a recommendation on the fee based on the prescribed scales outlined below.

Business Type	Fee Scale
Cannabis	The monthly compliance fee for cannabis memberships are prescribed between \$100-\$500 based on the extent of the relationship and reviews required.
Money Service Businesses	The monthly compliance fee for Money Service Business memberships are prescribed between \$500-\$1,000 based on the extent of the relationship and reviews required.
FINTRAC Reporting Entity	The monthly compliance fee for FINTRAC Reporting Entity memberships are prescribed between \$500 - \$1,000 based on the extent of the relationship and reviews required.

4.6.3 Fee Change Recommendation

Should management or the AML Compliance Department wish to make a recommendation for a Compliance Fee that is outside of the prescribed ranges outlined above, the recommendation can be made to the appropriate AVP/Regional Manager for approval.

4.7 Record Keeping

All additional documentation collected as part of the High-Risk Member onboarding process must be uploaded to ECM for future reference. This includes all items collected as outlined in [Collection of Additional Documentation](#) section.

4.7.1 Updating the AML Compliance Department

After the membership has been opened in the Banking System, branch employee must email the [AML Compliance Department](#) to notify of the completed onboarding process. Provide the following information:

- Membership number
- Member name
- Membership open date

To ensure appropriate record keeping is maintained, the AML Compliance Department will ensure that all information pertaining to the Compliance Review and High-Risk Member is documented appropriately.

5 Ongoing Monitoring

After the High-Risk Member relationship has been established with the Credit Union and accounts have been opened, the member will be subject to regular Ongoing Monitoring requirements.

Refer to [Ongoing Monitoring and Enhanced Due Diligence for High-Risk Memberships Guidelines](#).

6 Unusual Activity Reporting

If at any time, during the High-Risk Member onboarding process, employees identify unusual activity or behavior they must report the activity to the AML Compliance Department by completing an Unusual Activity Report. Refer to the [Unusual Activity Reporting Guidelines](#).

Version History

DATE	VERSION	CHANGE
July 15, 2026	002	New sections: • FINTRAC Reporting Entity Sections updated: • High-Risk Members • High-Risk Businesses • Initial Interview • Application Fee • Monthly Compliance Fee
August 25, 2025	001	Initial Version Created